

WHAT IS A PROFILE?

The most primary thing to learn is, “What is a profile?” A profile is a list of facts about us. Anything and everything about us related to the said topic is called a profile.

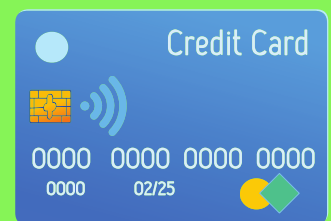
In this context, when we talk about creating a financial profile, we include everything about our finances. It includes how much we earn, from what sources, the stability of our income, our expenditure, assets we own, our liabilities, and so on. We also include other detailed factors such as the impact of taxes, the impact of social pressures, legal issues, etc. We take into account our preferences with different asset classes, comfort and so much more.

So, while creating a financial profile, it is very important to list down each and everything that impacts our finances. Shortly, we will learn how we can do so in a structured procedure. Our profile acts as a base for us to create a ‘Lazy Financial Plan’ and hence, how well we profile ourselves will determine how well we can plan. We have made it a point to make the process as easy and objective as possible.

We should keep in mind that our personal finance profile should be very specific to our needs and requirements. It should be a complete reflection of our financial habits. It cannot be generic. Financial profiles are different for a father and his son, a husband and his wife, a brother and his sister, and so on. So, we are to always create a profile that suits each of us exclusively.



ASSETS



LIABILITIES



INCOME



LIABILITIES

